



CUI

DEFENSE LOGISTICS AGENCY
CONTRACTING SERVICES OFFICE
700 ROBBINS AVENUE
PHILADELPHIA, PENNSYLVANIA 19111-5092

**JUSTIFICATION FOR AN EXCEPTION TO FAIR OPPORTUNITY
ADDENDUM 1**

Upon the basis of the following justification, I hereby approve the issuance of the contractual action described below using an exception to fair opportunity, pursuant to the authority cited herein.

1. IDENTIFICATION OF THE AGENCY AND THE CONTRACTING ACTIVITY:

Requiring Activity:

Defense Logistics Agency (DLA)
Information Operations Directorate (J6)
Program Executive Office (J62)



Contracting Activity:

DLA Contracting Services Office Philadelphia (DCSO-P)
700 Robbins Avenue
Philadelphia, PA 19111

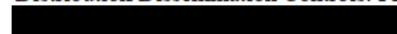


2. NATURE AND/OR DESCRIPTION OF THE ACTION BEING APPROVED:

Pursuant to FAR 16.507-6, the action being approved is an exception to the fair opportunity process. This justification authorizes increasing the contract ceiling to support the sole-source procurement of AWS infrastructure development and sustainment for J62C ESMC applications, and development and sustainment support for the DAAS DBX efforts.

The action being approved is a continuation of application and sustainment support provided by SP4709-24-D-0075/SP4709-25-F-0067, DLA J62C delivered by Credence Management Solutions,

Controlled by: DLA DCSO Philadelphia
CUI Category: General Procurement and Acquisition /
Source Selection Information see FAR 2.101 & 3.104
Distribution/Dissemination Controls: FED ONLY



LLC. These task orders were solicited as unrestricted (JETS Group A) and competitively awarded as a JETS task order, in the total amount of [REDACTED]. Credence Management Solutions LLC provides application support and sustainment services for DLA's J6 AWS Cloud Infrastructure. DLA J6 operates business systems in both Non-classified Internet Protocol Router Network (NIPRNET) and Secret Internet Protocol Router Network (SIPRNET). Currently, the J6 Enterprise Sourcing, Medical and Contingency (ESMC) Portfolio has a number of critical business systems hosted in the Amazon Web Services (AWS) Government Cloud (GovCloud), spanning across data impact levels (IL) 4 and 5, based on common hosting environment for enterprise level functional capabilities in multiple functional areas such as procurement, logistics, finance, etc. The capabilities include but are not limited to: Procurement Integrated Enterprise Environment, Joint Contingency Expeditionary Services (JCXS), RABBIT Portal, FEDMALL, Clause Logic Service (CLS), 4th Estate Enterprise Contract Writing Module (ECWM), to include the military services contract writing systems such as Army, Navy, and Air Force, and Defense Automatic Addressing System (DAAS), and Disposition Integration Web (DIW).

The Task Order period of performance (PoP) extends through 31 July 2030.

The work to be performed under the proposed modification to the Task Order must be issued on a sole-source basis to Credence Management Solutions LLC. The order must be issued on a sole-source basis in the interest of economy and efficiency because it is a logical follow-on to an order already issued under the contract; all awardees were given a fair opportunity to be considered for the original order. In 2022, the DLA Program Executive Officer (PEO) authorized contractual support for J62C AWS cloud infrastructure to include Procurement Integrated Enterprise Environment (PIIE), Joint Contingency Expeditionary Services (JCXS), RABBIT Portal, FEDMALL, Clause Logic Service (CLS), 4th Estate Enterprise Contract Writing Module (ECWM), to include the military services contract writing systems such as Army, Navy, and Air Force, and Defense Automatic Addressing System (DAAS), and Disposition Integration Web (DIW).

This AWS infrastructure support and sustainment was awarded on JETS Task Order SP4709-17-D-0034/ SP4709-22-F-0061 "ESMC Hosting Services" executed by Credence Management Solutions, LLC. Further, on 1 August 2025, the current J6 ESMC Hosting Services contract SP4709-24-D-0075/SP4709-25-F-0067 was awarded to Credence Management Solutions in which previous contractual AWS infrastructure and storage efforts have continuously been sustained by Credence. There are economies of scale benefits and efficiencies to the development timeline that DLA is uniquely poised to reap by having these contractors continue this work. No other vendor can come into this work at this juncture and harness the unique institutional knowledge that these vendors have; recreating this knowledge would take time and additional resources and not be in the best interests of the Government. Any other vendor would have to learn the J62C applications, learn the problems, and reinvent solutions when these vendors already possess this knowledge.

All eligible JETS IDIQ contract holders were provided a fair opportunity to be considered for all Task Orders cited within.

3. A DESCRIPTION OF THE SUPPLIES AND/OR SERVICES REQUIRED TO MEET THE AGENCY'S NEEDS, INCLUDING AN ESTIMATED DOLLAR AMOUNT:

As the Department of Defense (DoD) and the Defense Logistics Agency (DLA) continue to modernize and apply artificial intelligence, DLA J6 has an obligation to continue expanding AWS Cloud storage and use to accommodate the exponentially growing data utilized by artificial intelligence applications and services. Further, J62C has multiple emerging requirements that will increase cost for the duration of this contract. In addition to the rising cost of AWS expansions, J62C DAAS requires support and sustainment of DBX efforts.

The DBX efforts support four new Virtual Private Cloud (VPC) environments for the DAAS DBX pilot. This is a highly complex effort driven by a large container footprint of approximately 160 AWS infrastructure resources, and four new environments. The contractor shall provide labor support for computer processing capacity and storage necessary to support the DAAS DBX and related Proof of Concept activities, development, testing, and sustainment of the applications/modules within the PIEE functional procurement capabilities/applications/modules/systems, and Data Lake analytics applications. The capacity and storage shall be in place to ensure continued operations and no degradation of service to users and integration partners of the application. The contractor will conduct system analysis during peak and off-peak hours to determine resource consumption. If it is determined that the current production environment has exceeded the workload requirement, the contractor shall inform the program office and recommend action(s) to ensure stability and continuity of the application.

Furthermore, if this task order were awarded to a new vendor unfamiliar with J62C business processes, AWS infrastructure, and J62C business applications, the support the warfighter depends on would be put at risk. It is not a guarantee that the experts familiar with J62C would move to support a new vendor, or that the J62C development teams could absorb them into their development team.

The estimated dollar value for support for this DAAS DBX pilot is [REDACTED]. This modification will increase ESMC Hosting task order ceiling from [REDACTED] to an estimated [REDACTED].

This Task Order was competitively awarded on 1 August 2025. The period of performance (PoP) of the Task Order runs through July 31, 2030. The DBX Pilot is expected to run for twelve months with an estimated period of performance of March 1, 2026 through February 28, 2027.

ADDENDUM 1:

DLA requires an increase to the ceiling for Time and Materials (T&M) Task 3 – AWS GovCloud Infrastructure and Cloud Offerings. Failure to revise the ceiling will directly jeopardize the initiatives listed below and constrain our mission's growth. Specific consequences include: halting the DBX infrastructure build-out; allowing the Appian application to lose vendor support; stopping the FedMall's Development Move to IL4; preventing the onboarding of ACWS, ECWM, PIEE AI, and FedMall to the DSO platform; and, most critically, failing to support our new Army and Navy partners and stagnating the development of mission-critical AI capabilities.

Recent and In-Process Cost Drivers: These are active projects already contributing to costs and are foundational for future capabilities:

- Platform Onboarding and Migration:
 - Onboarding ACWS and ECWM to the DSO Platform: A critical initiative for PEE with a monthly cost estimate of [REDACTED].
 - DAAS DBX Infrastructure: Requires [REDACTED] in monthly costs to build out the necessary infrastructure for onboarding to the DSO platform.
 - FedMall's Development Move to IL4: A migration with a direct cost impact of over [REDACTED] per month to enhance security.
- Application Modernization and Pilots:
 - Appian Migration to EKS: This is a crucial effort for PEE. Failure to fund this will result in the Appian application losing vendor support.
 - Appian Data Fabric Pilot: An ongoing pilot to explore enhanced data capabilities.
- User and Resiliency Enhancements:
 - AppStream: Piloting and deployment across multiple programs (PEE, FedMall, DAAS, JCXS) to modernize user access.
 - DR/COOP Enhancements: Work to achieve near real-time Recovery Point Objectives (RPO) to improve business continuity.

Future and Emerging Cost Drivers:

- DevSecOps Platform Expansion: The DSO platform is expanding from its initial user base to become a multi-service enterprise solution. This strategic growth includes:
 - Onboarding New Mission Partners: Actively onboarding Army, Navy programs and DAI (Defense Agencies Initiative) are in the pipeline. This represents a massive increase in the platform's user-load, complexity, and support requirements.
 - Onboarding New Teams: Continuing the onboarding of new teams, including the AI-focused teams from PEE and FedMall, onto this expanded enterprise platform.
- AI/ML Capability Expansion: The mission is making a deliberate shift to leverage AI for proactive decision-making. This is not just a technological upgrade, but a transformative leap in operational intelligence. This requires funding for:
 - Foundational AI Infrastructure: Building the PEE AI/ML Software Factory to standardize and accelerate AI development across the enterprise.
 - New Mission-Critical AI Use Cases: Expanding AI capabilities across PEE, DAAS, and Cloud Hosting to develop and deploy live data dashboards and automated flags to alert PMOs of data anomalies, enabling a critical shift from reactive to predictive operations.
- Infrastructure and Service Modernization:
 - Jira/Confluence Re-architecture: A necessary redesign of core collaboration tools.
 - Amazon WorkSpaces: A planned service to further enhance and secure remote work capabilities.
 - Application Logs in Splunk: A new requirement to improve monitoring and security analytics.
 - Test F5 Network Appliances: Essential testing of virtual network appliances to de-risk production changes.

The estimated dollar value for the ceiling increase to Task 3 is [REDACTED] over the remainder of the task order period of performance. This modification will increase the estimated ESMC Hosting task order ceiling from [REDACTED] to an estimated [REDACTED].

4. IDENTIFICATION OF THE EXCEPTION TO FAIR OPPORTUNITY (SEE PARAGRAPH (b)) AND THE SUPPORTING RATIONALE, INCLUDING A DEMONSTRATION THAT THE PROPOSED CONTRACTOR'S UNIQUE QUALIFICATIONS OR THE NATURE OF THE ACQUISITION REQUIRES USE OF THE EXCEPTION CITED:

In accordance with FAR 16.507-6(b)(3), the proposed modification must be issued on a sole-source basis in the interest of economy and efficiency because the work to be performed is a logical follow-on to Task Order SP4709-24-D-0075/SP4709-25-F-0067.

The proposed modification will be made under the terms of the existing JETS IDIQ contract SP4709-24-D-0075/SP4709-25-F-0067. As stated in Section 2, all eligible JETS IDIQ contract holders were provided a fair opportunity to be considered for the initial Task Order award.

The work to be performed under the proposed modification is a logical follow-on to the initial Task Order because it will be a continuation of the application sustainment, application enhancement, capabilities management, technology sustainment of all required environments, database administration for all required environments, policy and audit readiness, confirmation management, information assurance, enterprise architecture support, and reporting support already being performed for the J62 ESMC application portfolio PMOs. This modification will enable efficiency and consistency for further AWS development and sustainment services.

The current vendor, Credence Management Solutions LLC, provides J62C ESMC hosting services as a Managed Service Provider (MSP). The MSP has a contractual relationship with the hosting provider to provide the Government with hosting services. A second vendor would create substantial complexities and inefficiencies. Additionally, part of the responsibilities of the MSP is to have a SOC report which is leveraged by the Government as part of required SSAE 18 audit activities. DLA has multiple programs leveraging the J62C ESMC hosting contract which have SSAE 18 requirements. Adding additional vendors to provide hosting support outside of the current contract would add additional scope and complexities to the Government's audit requirements, which would drive additional cost and create inefficiencies.

Additionally, a second vendor providing hosting services would duplicate efforts and cost, creating inefficiencies with operations. As an example, there are system administrators and cybersecurity resources on the current contract. If a second vendor were added, the Government would have to fund additional system administrators and additional cybersecurity resources on the second contract to ensure cyber policies are properly implemented. This will result in duplicative resources to the Government, preventing the Government from achieving operational efficiencies. The Government estimates that an additional 10-15 full time resources (firewall administrators, server administrators, database administrators, cyber resources, etc) would need to be placed on contract, creating an unnecessary expense to the Government of \$2.5M to \$3.75M above and beyond the estimates of this contract modification.

Aside from the time required to train a new vendor, which would place DLA at risk of not delivering the requisite system performance to the warfighter for J62C ESMC Hosting services, choosing a new

vendor would also put the schedule for DAAS DBX and additional artificial intelligence services and resources in severe risk. There are economies of scale benefits and efficiencies to the development timeline that DLA is uniquely poised to reap by having these contractors continue this work. No other vendor can come into this work at this juncture and harness the unique institutional knowledge that these vendors have; recreating this knowledge would take time and additional resources and not be in the best interests of the Government. Any other vendor would have to learn the J62C ESMC applications, learn the problems, and reinvent solutions when these vendors already possess this knowledge.

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In accordance with FAR 16.507-6(b)(3), the proposed modification must be issued on a sole-source basis in the interest of economy and efficiency because the work to be performed is a logical follow-on to Task Order SP4709-24-D-0075/SP4709-25-F-0067, in which all JETS 2.0 awardees were given a fair opportunity to be considered.

Credence is currently providing the ESMC Hosting Support which includes DAAS, PIEE, DIW, JCXS, and FedMall hosting and managed services support through July 31, 2030 under Task Order SP4709-24-D-0075/SP4709-25-F-0067. This Task Order was competed on an unrestricted basis among all DLA JETS 2.0 contract holders – over 140 large, small, and 8(a) companies. Credence was selected as the company whose proposal represented the best value to the Government.

It is important that the requirements are managed by a single contractor responsible for all hosting services so that consistency in cybersecurity support, configuration management, and hosting efficiencies can be achieved. If this work were to be performed by a different contractor, there would be a significant risk of failure due to a lack of understanding of the network architecture, direct agreement with Amazon AWS, and cloud cybersecurity requirements.

Credence is the only contractor that can rapidly implement new capabilities in the AWS GovCloud, reuse of work done on unclassified environments for DAAS, and leverage using Infrastructure-as-Code (IaC) scripts, and has the ability to leverage personnel familiar with IL-5 DAAS applications hosting to perform work on DAAS AI/ML hosting. IaC automates the provisioning of infrastructure through code which is repeatable resulting in cost savings, increase in speed of deployments and eliminates manual errors. The hosting architectures associated with all DAAS capabilities, including AI/ML, are very similar. Credence, via their current work with DAAS, has an extensive knowledge of DAAS applications and system architecture, which makes them the only vendor that can start working the AI/ML hosting requirements on day one by leveraging their work products that they delivered for DAAS hosting in support of ESMC hosting support. The common environment provides a robust and secure environment for DLA and J62C to manage its capabilities and it allows the contractor to efficiently utilize their IT personnel thereby reducing the overall operational expenses for the DLA J6 to host these applications.

5. **A DETERMINATION BY THE CONTRACTING OFFICER THAT THE ANTICIPATED COST TO THE GOVERNMENT WILL BE FAIR AND REASONABLE:**

The Contracting Officer will determine that the price is fair and reasonable prior to task order award. Price will be analyzed in accordance with FAR 15.404-1 procedures, and the Government will use various price analysis techniques, as needed, including but not limited to: (1) Comparison with competitive price lists in accordance with FAR 15.404-1(b)(4); (2) Comparison of proposed price with the Independent Government Cost Estimate in accordance with FAR 15.404-1(b)(5); and (3) Comparison of proposed prices obtained through market research for the same or similar items in order to obtain a fair and reasonable price in accordance with FAR 15.404-1(b)(6).

6. **ANY OTHER FACTS SUPPORTING THE JUSTIFICATION:**

N/A

7. **A STATEMENT OF THE ACTIONS, IF ANY, THE AGENCY MAY TAKE TO REMOVE OR OVERCOME ANY BARRIERS THAT LED TO THE EXCEPTION TO FAIR OPPORTUNITY BEFORE ANY SUBSEQUENT ACQUISITION FOR THE SUPPLIES OR SERVICES IS MADE:**

DLA will conduct market research and will continue its practice of ensuring that full and open competition is exercised to the maximum extent practicable.

8. **CERTIFICATIONS**

Requirements/Technical Certification:

I hereby certify that the supporting data provided for which I am responsible, and which form a basis for this justification are complete and accurate.

[REDACTED]

Contracting Officer Certification:

I hereby certify that this justification is accurate and complete to the best of my knowledge and belief.

[REDACTED]

Contracting Officer
DLA Contracting Services Office – Philadelphia

APPROVAL:

In accordance with FAR 16.507-6(d)(2)(x) and FAR 16.507-6(e)(3), I have determined that FAR 16.507-6(b)(3) applies and I approve this justification.

[REDACTED]